

Volume. Volume is often lowest at the center of the turn and higher at either end. This observation is just a guideline, not an inviolable rule. Many times you will see an irregular volume trend over the life of the chart pattern. Pay it no heed; it is still a rounding top. What is important is that price rounds over and a bowl-shaped volume trend just adds evidence to the veracity of the chart pattern.

Breakout direction. The breakout can be in either direction. An upward breakout occurs when price closes above the pattern's high. A downward breakout happens when price closes below the lower of the two rims.

[Figure 56.2](#) shows two examples of rounding turns on the daily scale. Notice the gentle curve with the August pattern appearing more rounded. The February pattern looks like someone squeezed it in a vice—an inverted V shape.

The start and end of each pattern is at nearly the same price. That characteristic differentiates rounding turns from scallops. The rounding turn may be part of a complex head-and-shoulders pattern, so check for that, and if so, trade it as a complex head-and-shoulders pattern.

Both rounded tops (in the figure) break out upward when price closes above the highest high in the pattern. For downward breakouts, price must close below point B.

Focus on Failures

[Figure 56.3](#) shows a typical example of a failure when price fails to rise more than 5% after the breakout. The chart pattern obeys the identification guidelines because the turn appears rounded with price at A and B (the pattern's start and end) nearly the same.

Buying demand and selling pressure determines stock price movement. Fundamentals drive those forces. If news comes out that a company is considering bankruptcy, you can be sure the stock price is going down. Most news influences price less.

For example, beginning in late January 2002, natural gas prices started rising and broke out upward from a symmetrical triangle in March, just as the stock made a minor high. Gas prices peaked in May and started a long